

Too much focus on luxe buys isn't chic

An expanded list of high-value purchases issued this week - from watches to art - that will be subject to 1% TCS is designed to **curb** I-T **evasion**. Luxury consumption provides the **taxman** with **markers** for underreported income in an economy where wealth creation is speeding up. There is evidence suggesting that India's richest **cohort** reports low income relative to their wealth, **thereby distorting** the picture of economic **inequity**. India also finds itself in unfamiliar public finance territory, with its minimum I-T **threshold** now **considerably** higher than the **per-capita** income. This **leads to** overdependence on **indirect taxes**, which typically do not serve the purpose of **progressive taxation**.

I-T lacks the **built-in self-policing** features of value-added taxes, such as GST. However, **enhancements** in reporting requirements and supporting data-driven **vigilance** **contribute** to revenue **mobilisation**. Additional **features**, such as tax deductions at sources of income and consumption, **deter** **widespread revenue leakage**, but these gains are limited by the **pace** of **formalisation of the economy**. Large **parts** of income and consumption **remain** beyond the scope of tax reporting, and there is a risk that higher reporting requirements could push more of it into informal channels. The **experience** with tracking consumption **has** been mixed. **Tax** collected at source on high-value car purchases **has** had some impact on sales growth. However, when the list is expanded to include luxury items of the same **ticket size**, there is a risk that sales could shift to **grey channels**.



India's **recovery** from recent economic shocks **has** been led by consumption from the top layer of income earners. A tax **regime** that becomes **overly inquisitive** - at least **on the surface** - **could dampen** high-value consumption. **Offsetting** this with consumption by those lower in the **pyramid** involves significant wealth **redistribution**. **Efforts** to track underreporting of income at the point of generation **could** **yield** better **outcomes** than **correlating** income with consumption.

- Red/blue coloring of words in the sentence indicates subject verb relationship; where 'red' denotes 'subject' and 'blue' denotes 'verb'.

Vocabulary

1. **Chic** (adjective) – fashionable, stylish, elegant, trendy, modish फैशनेबल होना
2. **Curb** (verb) – restrain, limit, control, restrict, suppress रोक लगाना
3. **Tax Evasion** (noun) – the deliberate and illegal act of avoiding the payment of taxes legally owed कर की चोरी
4. **Taxman** (noun) – tax collector, revenue officer, tax authority, income tax official, auditor – कर अधिकारी
5. **Marker** (noun) – indicator, sign, symbol, signal, benchmark संकेतक
6. **Cohort** (noun) – group, category, section, band, team समूह
7. **Thereby** (adverb) – thus, as a result, hence, accordingly, consequently इस प्रकार
8. **Distort** (verb) – twist, misrepresent, deform, falsify, alter विकृत करना
9. **Inequity** (noun) – injustice, unfairness, partiality, bias, discrimination असमानता
10. **Threshold** (noun) – limit, brink, starting point, boundary, edge सीमा
11. **Considerably** (adverb) – significantly, greatly, notably, substantially, markedly काफी हद तक
12. **Per-capita** (adjective) – per person, individual, personal, for each person, average per head प्रति व्यक्ति
13. **Lead** (to) (verb) – result in, cause, bring about, generate, trigger वजह बनना
14. **Indirect tax** (noun) – the tax levied on the consumption of goods and services
15. **Progressive taxation** (noun) – a taxation system where the tax rate increases as an individual's income rises
16. **Built-in** (adjective) – inherent, integral, inbuilt, intrinsic, internal अंतर्निहित
17. **Self-policing** (adjective) – (of a community) independently responsible for keeping and maintaining order. आत्म-नियंत्रित
18. **Enhancement** (noun) – improvement, augmentation, boost, upgrade, amplification वृद्धि
19. **Vigilance** (noun) – watchfulness, alertness, surveillance, caution, scrutiny सतर्कता
20. **Mobilisation** (noun) – gathering, deployment, activation, assembling, organization जुटाव
21. **Deter** (verb) – discourage, prevent, inhibit, obstruct, hinder रोकना

22. **Widespread** (adjective) – extensive, broad, prevalent, universal, sweeping
व्यापक
23. **Revenue leakage** (noun) – tax loss, income loss, financial drain, fiscal escape, monetary loss राजस्व हानि
24. **Pace** (noun) – speed, rate, velocity, tempo, momentum – गति
25. **Formalisation of the economy** (noun) – the process of bringing economic activities from the informal sector (where businesses are often unregistered and workers lack social security) into the formal sector, which is regulated by government laws and offers legal protections and benefits. अर्थव्यवस्था का औपचारिकीकरण
26. **Ticket size** (noun) – value, price range, purchase amount, investment size, deal amount लेनदेन की राशि
27. **Grey channel** (noun) – unofficial market, black market, parallel market, illicit trade, unauthorized route अनौपचारिक बाजार
28. **Regime** (noun) – system, structure, framework, governance, authority शासन प्रणाली
29. **Overly** (adverb) – excessively, unduly, too much, disproportionately, extremely अत्यधिक
30. **Inquisitive** (adjective) – curious, probing, questioning, prying, investigative जिज्ञासु
31. **On the surface** (phrase) – apparently, seemingly, outwardly, superficially, externally ऊपर से देखने पर
32. **Dampen** (verb) – suppress, discourage, weaken, reduce, dull कम करना
33. **Offset** (verb) – counterbalance, neutralize, compensate, cancel out, balance क्षतिपूर्ति करना
34. **Pyramid** (noun) – hierarchy, structure, tier, layered system, stratification संरचनात्मक ढांचा
35. **Redistribution** (noun) – reallocation, transfer, realignment, reassigning, reapportionment पुनर्वितरण
36. **Yield** (verb) – produce, generate, result in, bring forth, deliver उत्पन्न करना
37. **Outcome** (noun) – result, consequence, effect, end result, aftermath परिणाम
38. **Correlate** (verb) – connect, relate, associate, link, tie सहसंबंध स्थापित करना

Summary of the Editorial

1. A new expanded list of luxury purchases (like watches and art) now attracts 1% TCS (Tax Collected at Source) to curb income-tax evasion.
2. Luxury spending is used by tax authorities to identify underreported income amid rapid wealth creation in India.
3. Evidence shows India's richest often report low incomes relative to their actual wealth, skewing perceptions of inequality.
4. India's minimum income-tax threshold is now higher than its per-capita income, creating new challenges for public finance.
5. This situation increases dependence on indirect taxes, which are less progressive than direct taxation.
6. Income-tax collection lacks the self-enforcing mechanisms of value-added taxes like GST.
7. However, improvements in reporting requirements and data-driven monitoring are helping mobilize more tax revenue.
8. Measures like tax deductions at source help limit revenue leakage but are constrained by the slow pace of formalising the economy.
9. Large amounts of income and consumption remain outside formal tax reporting systems.
10. Stricter reporting rules risk pushing more economic activity into informal and untraceable channels.
11. The experience of taxing high-value consumption (like cars) shows mixed success — sales growth was somewhat affected.
12. Expanding TCS to more luxury items may shift sales into grey markets, undermining formal revenue collection.
13. India's economic recovery post-shocks has largely been driven by the top income earners' consumption.
14. An overly intrusive tax regime could hurt high-value consumption and dampen economic momentum.
15. Focusing on tracking income at the point of generation, rather than consumption patterns, could yield better long-term results.



Learn Vocabulary Through Reading Articles

English Madhyam